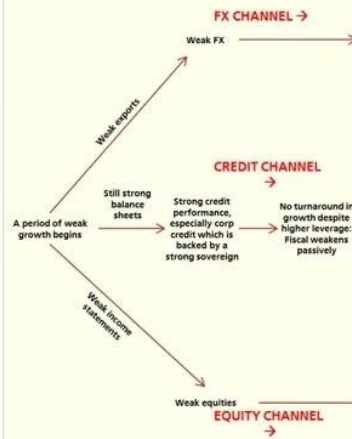


The long and winding road: A rough schematic of how EM pain may evolve

Phase 1

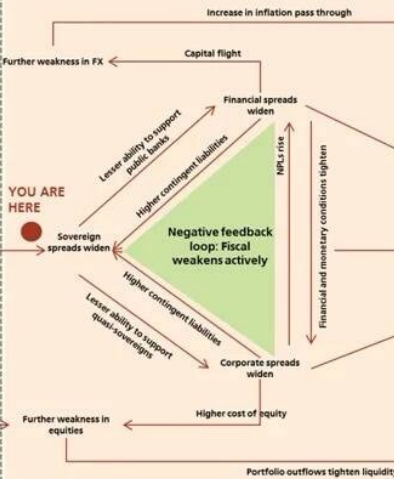
Persistent Income statement weakness: Slow Motion Commotion



1. This is the phase we had been in since 2011 with equity and FX weakening and credit holding firm. See [Slow Motion Commotion](#).
2. The size of areas respectively under Phase 1, 2 and 3 do not convey a sense of time that assets will likely spend in that state. We expect Phase 1, which lasted 4 years, to have been the longest. In Phase 2, as volatility rises, troubles will speed up, and Phase 3 could last only a few quarters, or even months.

Phase 2

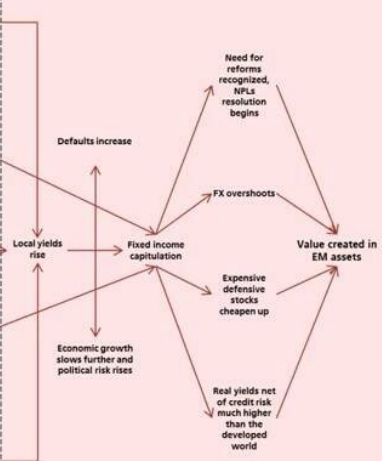
Balance Sheets get infected: A new, dangerous phase begins



1. This phase began around the middle of 2015 as total return in credit also rolled over. See [EM enters a new, dangerous phase](#).
2. What can decelerate, or even reverse, the negative feedback loop—better global trade, stronger global growth, reform.
3. What can accelerate the negative feedback loop—higher political risks, populist policy making, developed markets stumbling.
4. Equities' troubles broaden from weak income statements to higher cost of equity as well. Equity and FX weakness feed on each other.

Phase 3

Capitulation: Non-linear moves begin



1. It is not obvious that long term institutional holders of EM fixed income will capitulate. There is little history to compare against as EM corporate credit is a new asset class.
2. Value creation in assets will be long term only if we see leverage being resolved and growth returning to EM and DM economies.
3. In the 1990s, as the FX risk sat with EM borrowers, a rise in local yields use to occur already in Phase 1. Today, local financing of debt prevents a blow up, but lack of growth and high leverage make this a long-term credit problem.

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